Hong Kong Institute of
Certified Public Accountants
香港會計師公會

Qualification Programme Examination Panelist's Report

Module 7 – Financial Management
(December 2024 Session)

(The main purpose of the following report is to summarise candidates' common weaknesses and make recommendations to help future candidates improve their performance in the examination.)

(I) <u>Section A – Multiple Choice Questions</u>

<u>General Comments</u>

This was the seventh cohort to take the QP Module 7 Examination. Section A comprised ten multiple-choice questions designed to test basic knowledge in both financial management and managerial accounting.

Overall, candidates' performance in Section A was satisfactory. Most candidates identified the correct answers for more than half of the questions.

<u>Specific Comments</u>

Most candidates struggled with the key concept of applying perpetuity, resulting in only about one-third of the candidates providing the correct answer for Question 4. Additionally, approximately half of the candidates incorrectly discounted the value calculated by the perpetuity formula, yielding answers of 3 years instead of the correct 2 years.

Performance on Question 8 was also significantly lower than expected. Fewer than 40% of the candidates correctly identified that, according to Modigliani and Miller Proposition I, the market value of a company is unaffected by its capital structure in a perfect market without taxes.

(II) Section B – Written Questions

General Comments

The four case questions in Section B aimed to incorporate fundamental knowledge of finance and managerial accounting. The overall performance of the candidates in this section was satisfactory.

However, performance on Question 1, which covered topics related to risk and return in investing in a portfolio of two stocks, was unsatisfactory. While most candidates received high marks for calculating the expected returns of the two stocks in part (a), many struggled to calculate the correlation coefficient between the two stocks in part (d).

Candidates' performance on Question 2 was satisfactory, as it primarily covered typical topics related to capital budgeting. Many candidates earned higher marks for calculating the cost of debt, preferred stock, and weighted average cost of capital (WACC).

Question 3 was the most challenging question in this section. Few candidates were able to display mastery of the concept of KPIs and the use of the balanced scorecard for performance measurement. The question on the balanced scorecard's advantages and disadvantages proved particularly difficult, with over half of the candidates receiving zero marks.

Candidates' performance on Question 4, which mainly featured questions covering topics on ratio analysis, was satisfactory. Most candidates were able to calculate the financial ratios required in the question. However, many candidates' analysis in part (b) was not comprehensive enough to receive high marks.

Candidates appear to have managed their time well during the examination, with most candidates able to answer all parts of the four questions in Section B.

Specific Comments

Question 1(a) – 3 Marks

This question required candidates to calculate the expected returns of two stocks. Most candidates scored full marks, making it a top-performing question in this section.

Question 1(b) – 3 Marks

This question required candidates to calculate the standard deviations of the two stocks. The performance on this question was not satisfactory, with less than half the candidates able to provide correct answers.

Question 1(c) – 3 Marks

This question required candidates to determine the composition of a portfolio of two stocks to achieve a certain level of return. The performance on this question was satisfactory, with more than half of the candidates successfully calculating the correct weights for the two stocks.

Question 1(d) – 4 Marks

This question required candidates to calculate the correlation coefficient between two stocks. Most candidates did not receive any marks for this question, making it one of the worst-performing questions in this section.

Question 1(e) – 7 Marks

This question required candidates to explain the term 'correlation coefficient' and its impact on the risk diversification effects on a portfolio. The performance on this question was less than satisfactory, with less than half of the candidates able to provide the correct answers regarding impact on risk diversification in a portfolio.

Question 2(a) – 2 Marks

This question required candidates to calculate the cost of equity of a stock using the dividend discount model (DDM). Only about one-third of the candidates were able to correctly apply the DDM to calculate the cost of equity. A common mistake was incorrectly including the growth rate of 3% in the dividend for year 1 when using the formula to calculate the cost of equity.

Question 2(b) – 4 Marks

This question required candidates to calculate the cost of debt and the cost of preferred stock to be used in the calculation of WACC. The performance on this question was satisfactory, with about one-third of the candidates receiving full marks and another one-third receiving at least some marks.

Question 2(c) – 4 Marks

This question required candidates to calculate WACC for a stock. The performance on this question was satisfactory, with more than half of the candidates receiving full marks.

Question 2(d) – 5 Marks

This question required candidates to calculate the NPVs for two orders and then advise which order should be accepted. The performance on this question was satisfactory and about one-third of the candidates received full marks. Most candidates were able to correctly choose the order with the higher NPV.

Question 2(e) – 5 Marks

This question required candidates to calculate the payback periods for two orders and explain two disadvantages of the payback period method. The performance on this question was satisfactory, as most candidates understood the concept of the payback period and how to calculate it.

Question 3(a) – 6 Marks

This question required candidates to explain the term 'Key Performance Indicator (KPI)' and identify the elements crucial to the development of good KPIs for a company. Most candidates demonstrated a basic understanding of the concept of KPIs, but some candidates did not appropriately identify the crucial elements for developing good KPIs.

Question 3(b) – 4 Marks

This question required candidates to outline the four perspectives of the balanced scorecard. The performance on this question was not satisfactory, with most candidates unable to outline the four perspectives as instructed.

Question 3(c) – 6 Marks

This question required candidates to recommend and calculate the KPIs from the perspectives of the balanced scorecard. Performance on this question was not satisfactory, as most candidates were unable to adequately recommend KPIs and calculate their values. This was partially due to the failure to outline the four perspectives in question 3(b).

Question 3(d) – 4 Marks

This question required candidates to explain the advantages and disadvantages of the balanced scorecard. This was one of the worst-performing questions, with more than half of the candidates receiving zero marks.

Question 4(a) – 7 Marks

This question required candidates to calculate the financial ratios of a company for both the current year and the previous year. The performance on this question was satisfactory, with most candidates able to provide correct calculations.

Question 4(b) – 9 Marks

This question required candidates to analyse the ratios calculated in Question 4(a). The performance on this question was less than satisfactory. Although most candidates calculated the ratios correctly, they struggled with analysing and interpreting these results.

Question 4(c) – 4 Marks

This question required candidates to explain two other common financial measures for performance evaluation of responsibility centres. This was one of the worst-performing questions, with about two-third of the candidates not receiving any marks.

(III) Conclusion and Recommendation

The overall performance across the questions varied significantly, highlighting areas of strength and weakness among the candidates. Questions related to basic calculations, such as expected returns and financial ratios, were generally well-handled, indicating a solid understanding of fundamental quantitative skills. However, more complex topics, such as the correlation coefficient and its implications for risk diversification, as well as the balanced scorecard, proved challenging for many candidates. This suggests a need for deeper conceptual understanding and application skills in these areas.

Candidates are encouraged to deepen their understanding of key financial concepts, such as the correlation coefficient and its impact on portfolio diversification.

To improve performance on questions involving financial models like the dividend discount model and WACC, candidates should engage in more practice exercises, especially those that emphasize correct application of these models, and which outline common pitfalls to avoid.

Given that candidates struggled with analysing financial ratios, candidates are recommended to incorporate more analytical exercises into the revision process. These exercises could involve interpreting financial data and drawing meaningful conclusions to enhance understanding and application skills.

By addressing these areas, candidates can improve their performance in future examinations, particularly with regards to questions that require higher-order thinking and application skills.